

EYE OF THE STORM Smoke rises after Iran carried out a missile strike on the US 5th Fleet headquarters in Manama, Feb. 28

AFP

VIEW FROM **BAHRAIN**

The Capital Damage



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With risks exposed, investment flows, tourism and consumer confidence may come under strain even as fintech initiatives and a resilient industrial base are likely to drive recovery

The Arabian Gulf has just emerged from one of its most precarious phases in decades, following a fragile ceasefire that has paused a dangerous cycle of escalation involving the US, Israel and Iran. While the guns have fallen temporarily silent, the realities of modern warfare have already left a deep imprint—bringing the consequences of conflict uncomfortably close to civilian life in countries long perceived as relatively insulated from direct confrontation. Bahrain is one such country, now navigating a complex mix of residual security concerns and longer-term economic uncertainty.

The announcement of a ceasefire has provided immediate relief. Yet, it does not erase the structural vulnerabilities exposed during the recent period of escalation. In Bahrain, as in parts of the wider Gulf, missile and drone activity extended beyond strictly military contexts. Even when unintended, the proximity of strikes to civilian zones, transport corridors and energy-related infrastructure created a climate of heightened anxiety. Residents adapted to alerts, disrupted routines and the psychological weight of living under the shadow of uncertainty.

From an economic standpoint, the impact of the recent conflict has been both tangible and anticipatory. Bahrain's economy, which had been gradually recovering from the aftershocks of the COVID-19 pandemic while managing structural fiscal challenges, now faces renewed pressure. Growth projections have been revised downward as uncertainty weighed on investment flows, tourism and consumer confidence.

The tourism and hospitality sector has been among the hardest hit. Bahrain's position as a regional destination—particularly for short-stay visitors from neighbouring countries—suffered as travel advisories and security concerns deterred movement. Hotels, restaurants and entertainment venues reported noticeable declines in activity. Similarly, logistics and transport experienced disruptions. The Gulf's tightly interconnected maritime and air routes remain highly sensitive to instability. Even limited threats to shipping lanes or airspace led to rerouting, higher insurance premiums and delays. For Bahrain, whose economy relies significantly on its